

Table 29.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the pattern height from the highest high between the two bottoms to the lowest bottom low. Add the difference to the highest high. The result is the target price. The bottom portion of the table shows how often the measure rule works.
Wait for breakout	Wait for a close above the confirmation point before buying.
Trade with market trend	For best results, buy in a bull market.
Check others in the industry	To avoid 5% failures, check other stocks in the same industry and buy if they are showing bottoming patterns or if their stocks are rising.
Stop location	Use Table 29.7 to help determine stock location.

Description	Bull Market
Percentage reaching half height target	85%
Percentage reaching full height target	66%
Percentage reaching 2× height	46%
Percentage reaching 3× height	33%

The bottom portion of the table shows how often price will reach the target. Using the full height, as in our example, price will reach the target 66% of the time. Use half the height or three times the height and the likelihood of success changes, as the table shows.

Wait for breakout. Even in bull markets, trying to anticipate a bottom by buying a stock simply because it seems “cheap” is not a good strategy. Tomorrow, the price may be cheaper. By next week, the company could declare bankruptcy.

With double bottoms, waiting for price to close above the confirmation price is a good way to trade. You can still lose money, but that is the way to